

- o \$30,250 of the salary will be taxed at 12% (\$3,630)
- o \$34,875 of the salary will be taxed at 22% (\$7,672.50)
- o $\$987.50 + \$3,630 + \$7,672.50 = \$12,290$

Build Your Skills: Investing

1. Investing all your money in one company's stock leaves you very vulnerable because you are not diversified. If the stock crashes, you lose all your money.
2. An index fund is a type of mutual fund that tracks an index. For example, an index fund that tracks the S&P 500 is an index fund that tries to match the performance of the S&P 500.
3. You will have \$319,345 by the time you are 65. Of that amount, only \$52,800 is from your contributions.
4. Historically, the market goes up. Even though the stock market goes down from time to time, it bounces back. If you panic and sell your stocks, then you will likely miss out on all the gains the stock will make when the market recovers.

Build Your Skills: Retirement

1. Your employer will match 50% of your contributions up to 5% of your salary. Your salary is \$100,000, so 5% of that is \$5,000. This means that once you have contributed \$5,000, your employer has contributed \$2,500 (50%) and will not contribute any more that year.
2. \$2,256,981